

HOW MANY PEOPLE ARE DEPENDENT ON US FOR INCOME?

We have already evaluated this while judging our risk-taking ability. Even if a single non-earning person depends on us for their expenses, we need life insurance. In case something happens to us, this person will not be able to meet their expenses. Therefore, we need to create a safety net for them. These people can be our spouse, parents, grandparents, children, relatives etc.

HOW MANY PEOPLE IN THE FAMILY EARN?

If multiple people in our family earn, the responsibility is shared. However, if one is the sole earning member, they burden the whole responsibility single-handedly. If your income goes away, the entire family's source of income goes away. However, if there are other earning members then there is still some source of earning coming in for the family. Hence we have to assess if our family will still be financially stable even if we stop earning suddenly. If the family has other sources, then we do not need life insurance but if our salary is the major income source, then we do need a life insurance cover in place.

DO WE HAVE ASSETS TO MEET LIABILITY?

If our asset ownership is high, we will be getting income from our assets as well which will continue even if something happens to us. Secondly, our family can always sell assets to meet their financial goals and responsibilities. For someone whose investible portfolio is really big, they depend more on their assets in comparison to income. Thus, in this case too, life insurance is not required. But if we do not have enough assets, health insurance is needed.